



Quantity V Margin

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Welcome

- Let's talk sales and profits.

Spoiler Alert

- There will be some math's in this, but I will keep it simple where possible.

Sales

- There are two common methods of generating profit from sales and they are:
- Quantity
- Margin

Quantity

- Sales with very small mark-up over cost.
- Adding 5 to 10% onto cost (small profit *) and hoping to make a larger amount of money by selling numerous items.
- Cost plus a small percentage will potentially give you quantity of sales and this will no doubt keep the installation section busy, but who makes the money?

- When analysed as profit centres (Sales and Maintenance) the Sales Department will have made little to no profit with the Maintenance/Installation section taking the cream.
- Maybe the Business can survive but nowhere near as well as it could.
- The main problem with quantity sales is, you need to have a high volume of aircraft in your catchment area. Places with few aircraft like Small airports that are away from major destinations or even countries like Australia and New Zealand is that there is not a sufficient quantity of aircraft to get the volume of sales required to add up to a healthy profit.

- To make a decent profit with Quantity sales you rely on having a large number of potential customers to extract sales from.

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Quantity Sales



Margin

- Sales with a higher margin of profit per sale
- High profit with fewer sales.
- That higher profit can be generated in two ways

- (1) Cost of Goods (COG) plus a high percentage
 - or
- (2) Where you determine the Sale price from the List price or RRP
 - Using a List less formula.
 - Or
 - No discount at all



- To make a profit from Margin Sales you have to get ingenious with your sales approach.

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- The truth is that a majority of Avionics facilities have made very few actual sales, they have taken the path of “order taker”.
- While they think they made the sale, all they did was negotiate a price when the customer, knowing already what equipment he or she wishes to purchase, walked through their door.
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"Sara, have sales do that thing
where profits go up."

- Making a healthy margin when selling is a skill and should be the focus of all sales teams
- A healthy margin will assist in ensuring company profitability
- BUT, You need to hold your sales teams responsible for that.

- To just look at a simple P/L will not give you the answers, you have to be able drill down and get reports on individual transactions within the profit centre and analyse things like cost verses income of each sale.
- And you can't do that if you don't know your real costs

Dealer Discount

- Why do OEM's give YOU a discount on List price?
- Because they want to be your new best friend?
- They like the way you dress?
- They think your accent is cute?
- **NO,**
- None of the above.

Why do OEM's give YOU a discount on List price?

- **You get a discount because --**
- **the OEM wants to sell more equipment .**

And

- The OEM knows that you are going have costs to do that

So

- They reimburse you that cost in the form of a discount.
- Effectively that discount is YOUR MONEY



Profit

- Since we are talking about profits,
- I talked to a Prophet about this and what do you think he said?

Why is it important to make a profit

- To purchase additional equipment and components
- Enable you to service any loans the business has that you have provided collateral for.
- Ensure you can pay staff.
- Remain in business

What is important to You and your Customer

YOU	Customer
Make a profit	Pay as little as possible
Stay in business	For you to remain in business

How do we know if we are making a profit?

- Understanding what goes in to making a profit and how to measure it is trickier than you think so, let us walk through some examples and see.
- Using both Quantity sales and Margin sales in the following examples.

- For the purpose of this exercise, our margin sales are going to concentrate on List price less a percentage.

Simple Math's

- Product - parameters
- List Price \$100
- Dealer discount 40%
- Dealer cost \$60

Sales – Comparison

Quantity Sales

$$\begin{aligned}\text{Cost price} + 10\% &= \text{Sale} \\ (\$60) + (\$6) &= (\$66)\end{aligned}$$

$$\begin{aligned}\text{revenue} - \text{cost} &= \text{Profit}^* \\ (\$66) - (\$60) &= \$6\end{aligned}$$

\$6 *

Margin Sales

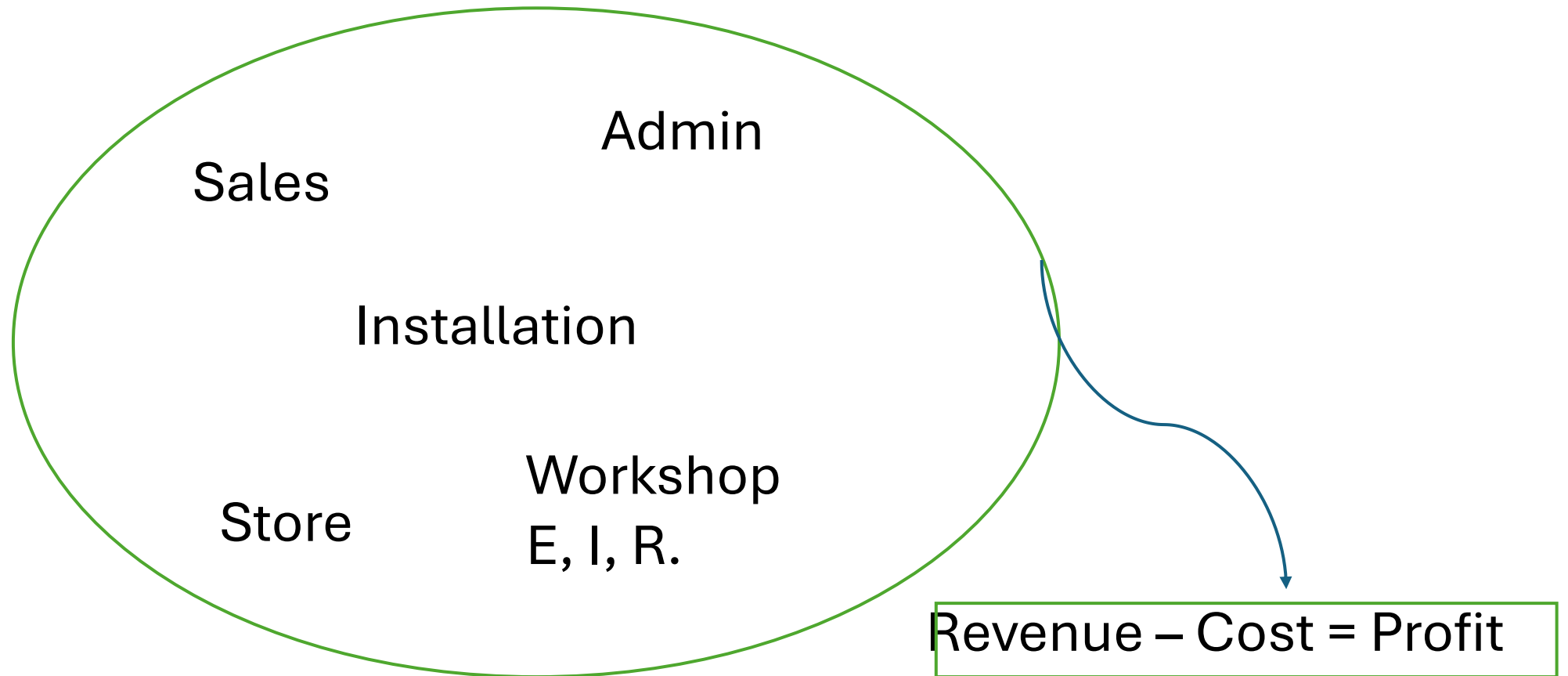
$$\begin{aligned}\text{List Price} - 30\% &= \text{Sale} \\ (\$100) - (\$30) &= (\$70)\end{aligned}$$

$$\begin{aligned}\text{revenue} - \text{cost} &= \text{Profit}^* \\ (\$70) - (\$60) &= \$10\end{aligned}$$

\$10 *

- In our Quantity sales example, in exchange for \$6 you have given the Customer \$34 of YOUR money.
- Our Margin sale example looks a bit better with you exchanging \$10 dollars for only giving away \$30
- Which begs the question, why do so many of us give OUR money away so easily

Typical Structure



A more structured approach

- Divide your business into profit and cost centers
- Back in the 70's and 80's progressive business restructured themselves by dividing into sections called COST centers.
- The term COST center had the effect that it was OK to have huge costs provided you made some profit, which is the wrong focus.
- So, by the time we hit the 2000's we had renamed most of them to PROFIT centers which is more fitting for the purpose.

- As you will see, we still have a need for COST centers, but it is what we do with these costs that is important.

Understanding costs

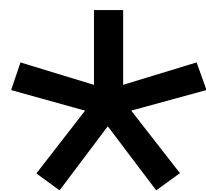
- Here are a sample of some costs
- Electricity
- Computer Equipment
- Packaging supplies
- Stationary
- Wages
- Marketing

Sales Costs

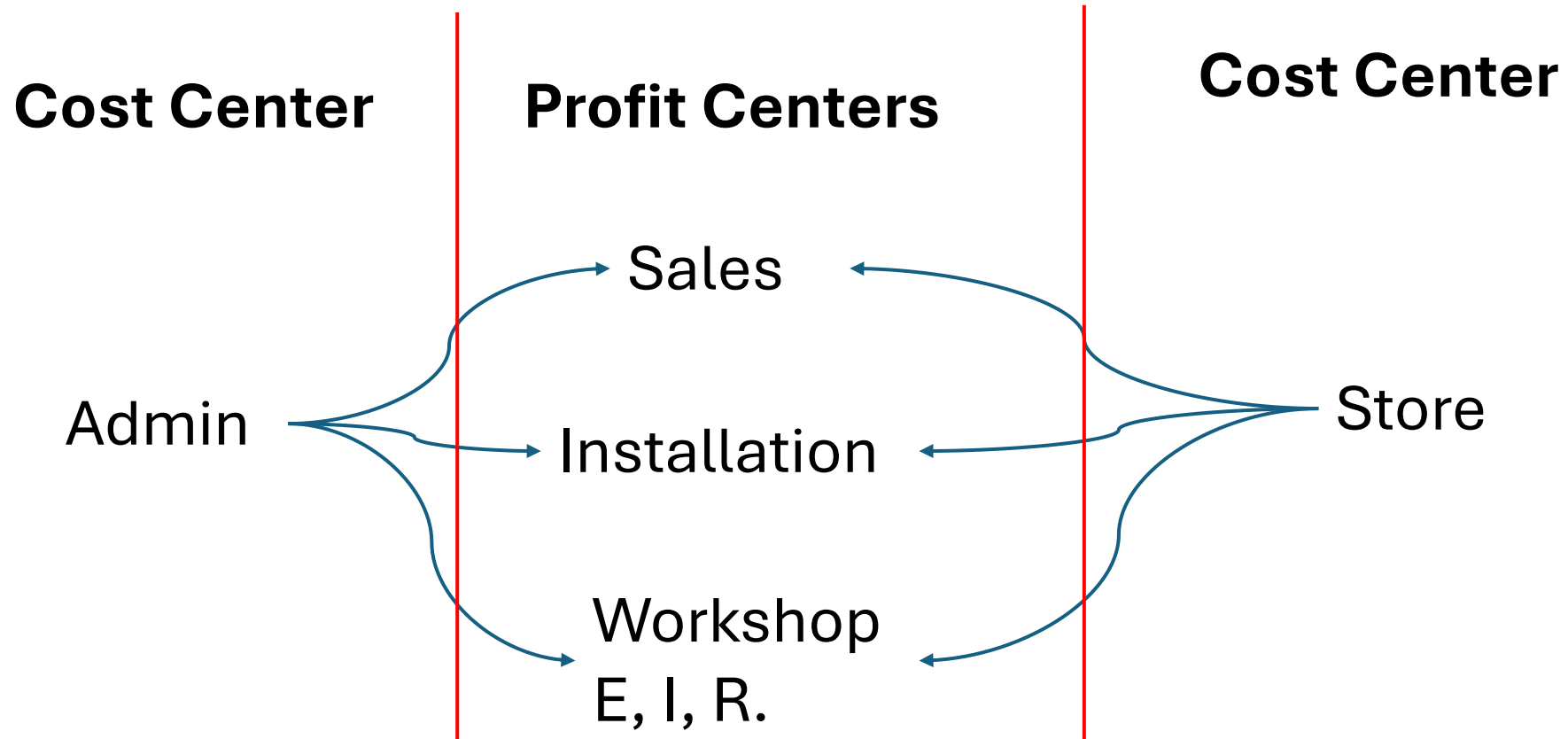
- Admin – Invoicing – processing payment for product
- Store – Ordering
- Receipt and dispatch – receiving and booking in product
- Electricity – run computers and air con
- Equipment – computers etc
- Wages – salesperson

The Workshop and Installations sections have a set labour rate that can be charged to the customer and covers their costs.

The sales section doesn't have a labour rate to charge out when making the sale, yet it still shares some of these costs.



Better Structure



Revenue – Cost of Goods - Operating Cost = Operating Profit

Operating costs

- All the costs needed to operate your business
- You apportion some of the overall operating costs to the various profit centers.
- Let's now include operating costs into our single sale examples

Operating Profit

	QUANTITY		MARGIN
REVENUE	66		70
COGS	60		60
GROSS PROFIT	6		10
OPERATING EXPENSES	2		2
OPERATING PROFIT (EBIT)	4		8
	(15)		(7.5)

EBIT



Earnings Before Interest and Taxes

- **EBIT = Revenue – COGS – Operating Expenses**
 - **Revenue** – represents the total amount of money earned from product sales.
 - **COGS** – represents the cost of goods sold, including equipment, raw materials, and shipping.
 - **Operating expenses** – this refers to running costs like rent, salaries, marketing, insurance, equipment and everything else I have previously mentioned.

EBIT

- EBIT is NOT used to report 1 off sales but I am using it to demonstrate the profitability, or lack of, in these single examples.
- EBIT, or operating profit, measures the profit generated by a company's operations.
- By ignoring taxes and interest expenses, EBIT identifies a company's ability to generate enough earnings to be profitable, pay down debt, and fund ongoing operations.

Reporting

- EBIT can often be reported as a Percentage of Revenue
- Generally, an EBIT margin of 12% - 16% or more is considered good/average in this economic climate.
- A higher margin implies lower operating expenses relative to total revenue.
- A low or below-average margin indicates problems with cash flow and profitability.

EBIT %

- Simple formula
- **Operating Profit / Revenue X 100**
- Our examples

			EBIT %	Start
Quantity	4 / 66 x 100	=	6%	+10%
Margin	8 / 70 x 100	=	11.4%	-30%

Quantity Sales

- 6% of revenue means a profit of 6 cents in every dollar of revenue
- Or
- A COST of 94 cents in every dollar of revenue to make 6 cents
- But we do thousand-dollar sales, not hundred-dollar sales, surely our EBIT percent must be higher?
- Let's see

List Price \$10,000

	QUANTITY		MARGIN
REVENUE	6,600		7,000
COGS	6,000		6,000
GROSS PROFIT	600		1,000
OPERATING EXPENSES	200		200
OPERATING PROFIT (EBIT)	400		800

As a percentage of revenue

			EBIT %	Start
Quantity	$400 / 6,600 \times 100$	=	6%	+10%
Margin	$800 / 7,000 \times 100$	=	11.4%	-30%

- But what if we looked at our total quantity of sales of this item, we must definitely have a higher EBIT %, just due to the quantity we sold.
- Let's see

Sold a quantity of 100 units

	QUANTITY		MARGIN
REVENUE	6,600		7,000
COGS	6,000		6,000
GROSS PROFIT	600		1,000
OPERATING EXPENSES	200		200
OPERATING PROFIT (EBIT)	400		800

As a percentage of revenue

			EBIT %	Start
Quantity	$400 / 6,600 \times 100$	=	6%	+10%
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Markups COGS

- If we look at just gross profit against revenue without any operating costs, using the percentage formula,
- $6/66 \times 100 = 9\%$ ---
- we can see that we are already below our 10% target at 9%
- To help you determine markup required to achieve a certain percentage profit, there are published tables

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Mark Up %	Gross Margin
15%	13.00%
20%	16.70%
25%	20.00%
30%	23.00%
33.3%	25.00%
40%	28.60%
43%	30.00%
50%	33.00%
75%	42.90%
100%	50.00%
150%	60.00%
200%	66.60%

Recap

- Quantity sales – requires detailed research to determine overall potential sales and therefore the profitability.
 - Research adds operating cost to the sale
 - You must apportion all operating costs to the sale.
 - With all the operating costs deducted from gross profit, the operating profit diminishes and with an already low expected gross profit it really eats away at operating profit (EBIT).
 - Making low to no profit on sales
 - You are giving a lot more of your money (discount) to the customer.

- Margin sales -requires sales personnel to not only convert walk in sales but to generate leads and follow up with sales.
 - Generating sales leads adds operating cost to the sale
 - You must apportion operating costs to the sale.
 - With all the operating costs deducted from gross profit, the operating profit diminishes BUT with a higher expected gross profit it will ensure a financially responsible operating profit (EBIT).
 - Making profit on each sale
 - You are giving a lot less of your money (discount) to the customer.

What should I do now

- Regardless as to whether you are going to forge ahead with quantity or margin sales, get your accountant to provide you with sales operating costs that you can apportion to sales.
- This must include all costs from within the business that are involved with making and completing sales.
- Operating costs for a sale could be in the form of an hourly rate that can be applied to each sale depending on the time taken.
- COGS should definitely include freight. (when shipped in quantity, freight must be apportioned)

What is best

- You should by now have formulated your own ideas, BUT;
 - You must do what works best with your business model.
 - **ME,**
 - I would go margin sales all day long, but I live in the real world, and I know we can't level the playing field like Apple and similar companies.
 - I would try not to make quantity sales my main sales tool, especially without some significant detailed research.
 - I would use a cost-plus a small markup method of sale as rarely as possible.

What did the Prophet say?

Profits* are not always profits.

Thank you.